

TRANSLATION OF FINANCIAL STATEMENTS

This attachment provides an illustrative example for application of the Accounting for Foreign Currency policy in translating foreign currency financial statements to the reporting currency. This example assumes the position of Foreign Entity B illustrated on Attachment I. Assume the foreign entity with a functional currency of British Pound Sterling (GBP) (Foreign Entity B) receives a loan of £100 denominated in GBP from another Hilton entity (Foreign Entity A) on January 1, 20X1. Assume the loan bears an annual 10% interest rate. Also assume the exchange rates of GBP to USD as shown below. The 20X2 foreign entity financial statements shown below were maintained in GBP and translated to USD using exchange rates applicable to each account type. Note that the amount recorded to cumulative translation adjustment (CTA) is the plug needed to balance the financial statements after translation.

Exchange Rates of GBP to USD	
January 1, 20X1	1.10
Average 20X1 Exchange Rate	1.10
December 31, 20X1	1.10
July 1, 20X2	1.20
December 31, 20X2	1.40
Average 20X2 Exchange Rate	1.30

▲: The amount recorded to CTA is the plug needed to balance the financial statements after translation. The plug can be calculated as follows:

Translated net assets:	\$ 434 (A - B)
Less translated equity:	
Common stock	\$ 110 (C)
Beginning retained earnings	\$ 132 (D)
Translated net income	\$ 117 (E)
	\$ 359
Plug to CTA	\$ 75

FOREIGN ENTITY B – TRANSLATED 20X2 FINANCIAL STATEMENTS

	GBP at 12/31/20X1	GBP at 12/31/20X2	Translation Rate	USD at 12/31/20X2
Assets				
Cash	300	335	1.40	469
Accounts receivable	40	50	1.40	70
Equipment (purchased July 1, 20X2)	-	80	1.40	112
Accumulated depreciation	-	(5)	1.40	(7)
Total assets	<u>340</u>	<u>460</u>		<u>644</u> A
Liabilities				
Accounts payable	10	30	1.40	42
Accrued interest	10	20	1.40	28
Notes payable	<u>100</u>	<u>100</u>	1.40	<u>140</u>
Total liabilities	120	150		210 B
Equity				
Common stock (issued January 1, 20X1)	100	100	1.10	110 C
Cumulative translation adjustment (plug)	-	-		75 ▲
Retained earnings (12/31/20X1)	120	120	1.10	132 D
Retained earnings (12/31/20X2)	<u>-</u>	<u>90</u>	1.30	<u>117</u>
Total Liabilities and Equity	<u>340</u>	<u>460</u>		<u>644</u>
Revenue		1,000	1.30	1,300
Operating expenses		(900)	1.30	(1,170)
Interest expense		<u>(10)</u>	1.30	<u>(13)</u>
Net income		90		117 E